

below the current high, but that's fine for a buy-and-hold, which often doesn't use stops at all.

About 3 weeks after the stock peaked, the company announced earnings that the market didn't like. The stock gapped open lower and continued down. Here's where the story gets strange.

The stock dropped all the way back to 8.22 (on 24 August, a 50% drop from the peak), but the conditional order never triggered. I must have removed the order but never made a note of it.

On 5 July, I wrote this: "This is well past the time to sell, but since I have so few bucks in it, don't worry about it."

So the stock was within a handshake of my target and then dropped in half. *Oops*. I am tempted to write that I wasn't paying attention, but I was. I placed the conditional order the day the stock peaked, so my mind was in the game.

Anyway, fast forward to March 2012 after the stock had recovered and made what looked like two rounded turns. "I placed a trailing stop at 1 point below the bid, GTC [good till canceled] until 1 July 2012." Two weeks later, I canceled the trailing stop of 14.64 and raised it to 14.91 because, "I think this is going to drop. It's a good earnings event pattern, and I don't want to ride it down a buck before it moves higher. Stop placed just below support."

Four days later, I was out of the stock. "Sell reason: Hit stop. I was worried that the overhead resistance area would repulse shares and send the stock down after the good earnings event. I didn't want to ride it back down. My guess is this will drop but not much before resuming the up move providing the market moves higher. It has been [moving higher] but just by a little each day. If the market drops, which I expect, it should take this stock lower, too. But so far, I've been waiting for the general market to tank, and it hasn't."

The stock *did* continue lower but only by 9% below my sale price. The stock peaked about a year later at 19.95 before sliding all the way down below 1 in April 2020.

I made 42% on the trade (including dividends), but it took just over 2.5 years to do that. However, that's almost 16% a year, which is quite good.